

Medical insurance cell

This is a really tough one. You need either a really good financial planner who will choose for you, or you need some kind of help to compare policies so that you can choose the right one. As I said earlier in the chapter on medical insurance, *Mint* collaborated with SecureNow Insurance brokers to rate medical policies, and you will need to spend thirty minutes with Mint SecureNow Mediclaim Ratings to get the best out of them. You can see them here: <https://bit.ly/2reeTTN>

Medical cover is needed as the costs of hospitalization have gone through the roof. Unfortunately in India, hospitals are unregulated and are charging whatever they want. This results not just in higher costs when you pay the bill but also in higher insurance premiums. Depending on your need, this cell gets a medical insurance policy that insures you and your family against hospital bills.

Life insurance cell

I don't want to see a single ULIP, money-back, endowment, whole life policy in this cell. We went over the reasons in the chapter on life insurance why a term plan is the only way to build security for the family against your untimely death.

Life insurance bundled with investments are very high-cost products that benefit the agents, banks and life insurance firms more than they benefit you. Shut your ears to the hard sell, or cut the loss and stop funding these policies. Ask any good financial planner in India and the one big mistake they find in their clients' portfolios when they take them on is too many of these useless products.

You need a term plan to cover just the risk of you having an untimely death. You need between eight to ten times your annual income as a cover. You need to cover also any loan that you have. Car, credit card, personal, education, home – add these up and buy an additional term plan to cover the loans. You don't want your spouse to be paying EMIs on the home loan you did not protect.

Look for a combination of a low premium and a claims experience of over 95 per cent. You don't want the cheapest plan that comes from a firm that rejects a